

Healthcare in New Zealand: The changing role of the private sector

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By Paul Clark

Industry Economist, Westpac NZ

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This report looks at how private and public healthcare providers can work together to ensure that New Zealand's health system continues to deliver a world-class service.



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Executive summary

New Zealand's healthcare system is mostly publicly funded through general taxation, with a smaller but fast-growing private sector alongside it. That private system is funded through insurance, out-of-pocket payments, Accident Compensation Corporation (ACC) contributions, and increasing levels of outsourcing from the public sector.

Overall, New Zealand spends about 10% of its GDP on health – roughly 7% publicly and 3% privately. That's broadly in line with other OECD countries and, in general, delivers relatively strong health outcomes.

Even so, the system is under growing pressure. Investment has lagged rising demand and health costs, contributing to workforce shortages, ageing infrastructure and fragmented IT systems. An ageing population and wider social challenges are further pushing demand beyond capacity, resulting in longer waiting times and widening inequities in access to care.

In response, government is taking a closer look at how public and private healthcare can work together more effectively. The focus is on clear national priorities, delivering them locally, and strengthening accountability, with a bigger role for public-private partnerships.

Private providers already play a significant role, delivering GP services, diagnostics, elective procedures, and rehabilitation. Their flexible staffing and spare capacity mean they can often respond more quickly, freeing the public system to concentrate on acute care.

Outsourcing to the private sector is now common, particularly for elective procedures. These tend to be low-margin, high-volume services, that offer predictable demand and opportunities for specialisation, as well as investment in new facilities, IT consolidation, and digital equipment.

At the same time, government is partnering with Whānau Ora commissioning agencies to invest in and design community-based health services. These partnerships aim to improve health outcomes for Māori and Pasifika, especially in regional communities.

Looking ahead, an ageing and growing population and limited public capacity point to continued growth in private healthcare. However, the sector also faces challenges, including pricing pressures that risk making private care less affordable.

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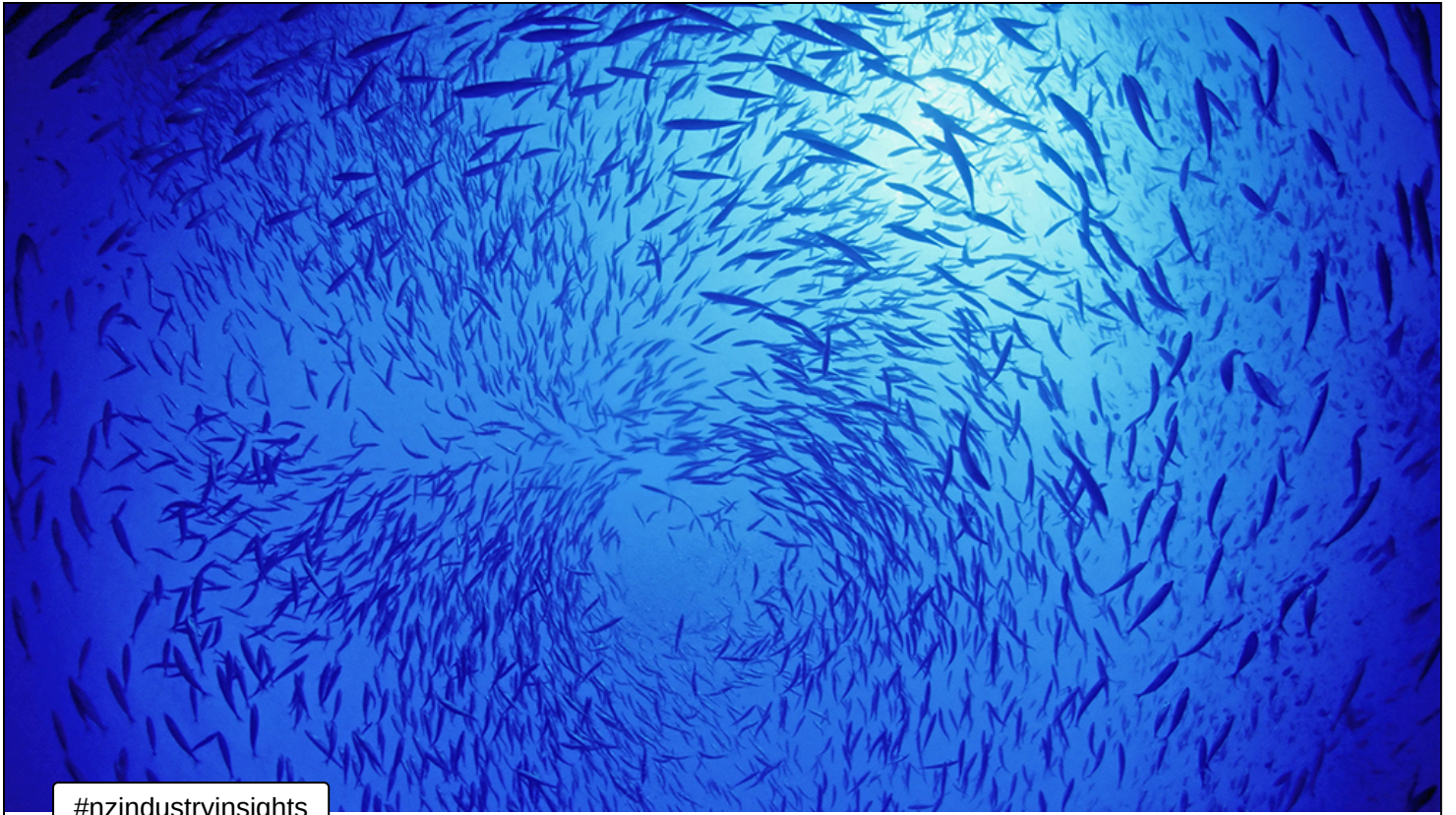


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